

THE GOVERNMENT'S TAX REFORMS will increase the disposable income of consumers while measures such as the Labour Codes will improve efficiency, providing a further fillip to growth, says S. Mahendra Dev, Chairman of the Economic Advisory Council to the Prime Minister. In an interaction with *BT*, he talks about the economy and says the recent weakening of the rupee is better understood as a reflection of cyclical capital flow dynamics, rather than a structural concern in the Indian economy.

46 | He also reposes faith in India's trade policies and says even if global trade does not rise much, India can increase its share by diversifying to other countries. Edited excerpts:

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Will the Labour Codes improve the investment environment and ease of doing business in India?

The Labour Codes are a long-pending reform and address a key concern of regulatory uncertainty. They create a more unified, predictable, and transparent labour framework across states, reducing compliance costs and improving ease of doing business. This reform complements broader growth initiatives such as Production



RUPEE WEAKENING NOT A STRUCTURAL CONCERN

S. Mahendra Dev, Chairman of EAC-PM, on economy, growth prospects, reforms and rupee fall

BY SURABHI

Linked Incentives (PLI) scheme, Make in India, PM Gati Shakti, the National Logistics Policy, and expanding trade agreements, together forming a coherent policy mix that supports labour-intensive manufacturing, export diversification, and long-term investment planning.

The Codes also strengthen worker welfare and productivity. Simplified procedures encourage firms to scale up and formalise, helping address the 'missing middle' in manufacturing. Provisions for women's employment on night shifts with safeguards, social secu-

rity coverage for gig and platform workers, and portability of benefits for inter-state migrants align labour regulation with a more mobile and digital economy. By easing regulatory burdens while expanding social security and protections, the Codes strike a pro-growth, pro-labour balance that supports investment and employment generation.

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One of the criticisms of the Codes is that they cover only formal sector workers and about 93% of India's workforce that is in the informal sector is not covered...

That criticism overlooks both India's historical experience and the intent of the reforms. India's legacy of restrictive labour laws created strong incentives for firms to remain small and informal, resulting in a labour market where nearly 93% of workers operate outside formal protections. The four Codes are designed precisely to reverse this equilibrium by reducing regulatory disincentives to growth, simplifying compliance, and encouraging enterprises to scale up and formalise. Rather than attempting to directly regulate informality—which previous